increased burden. First, in accordance with Rule 14a-2(b)(9)(i), proxy voting advice businesses will be required to include in their proxy voting advice (or in an electronic medium used to deliver the advice) disclosure of conflicts of interest specifically tailored to proxy voting advice businesses and the nature of their services.[689] Second, under Rule 14a-2(b)(9)(ii)(A), proxy voting advice businesses will be required to adopt and publicly disclose written policies and procedures reasonably designed to ensure that registrants that are the subject of the proxy voting advice have such advice made available to them at or prior to the time such advice is disseminated to the proxy voting advice business's clients. Third, under Rule 14a-2(b)(9)(ii)(B), the proxy voting advice business will be required to adopt and publicly disclose written policies and procedures reasonably designed to ensure that the proxy voting advice business provides clients with a mechanism by which they can reasonably be expected to become aware of a registrant's written statements about the proxy voting advice in a timely manner before the shareholder meeting. The amendments also provide non-exclusive safe harbors that the proxy voting advice businesses may use to satisfy the principle-based requirements in Rule 14a-2(b)(9)(ii). We address each of these three components in turn.

With respect to the conflicts of interest disclosure in new Rule 14a-2(b)(9)(i), the facts and circumstances unique to each proxy voting advice business, including the conflicts of interest disclosures it currently provides to its clients as well as the nature of its material interests, transactions, and relationships, will dictate the additional disclosure, if any, it must provide under the final rule. For example, to the extent that proxy voting advice businesses are already providing the kind of conflicts of interest disclosure required by the rule, it would reduce their new compliance burden. Another factor that complicates the calculation of burden is the principles-based nature of the conflicts disclosure requirement, which eschews prescriptive disclosure

[689] Rule 14a-2(b)(9)(i).

standards in favor of providing proxy voting advice businesses the flexibility to determine which situations merit disclosure and the specific details to provide to their clients about any conflicts of interest identified. While this flexibility in the rule's application is beneficial for both proxy voting advice business and their clients, it limits our ability to predict the associated paperwork burden. Under the rule, a proxy voting advice business's disclosure could differ for each registrant and be subject to change in the future as both the business's and its clients' circumstances change.

One proxy voting advice business estimated that its burden associated with the identification and disclosure of conflicts of information under the proposed rules would add 5,969 burden hours each year.[690] While we believe that the principles-based focus of the adopted requirement, in tandem with a proxy voting advice business's existing conflicts disclosure systems and practices (particularly as to registrants that have been the focus of the business's proxy coverage in prior years), could significantly mitigate any increased paperwork burden corresponding to the new rules, we think it is appropriate to increase our estimates to align more closely with this commenter's input. Accordingly, we estimate the conflicts of interest disclosure in new Rule 14a-2(b)(9)(i) to result in 6,000 additional burden hours per proxy voting advice business.

The remainder of the additional paperwork burden associated with the amendments will derive from the requirements of Rules 14a-2(b)(9)(ii)(A) and (B). Because these rules have been designed to permit proxy voting advice businesses substantial flexibility over the manner in which

[690] *See* letter from Glass Lewis I. Glass Lewis calculated that it issued 5,565 total proxy research reports on U.S. companies in 2018. Assuming one hour spent for each report to identify any potential conflicts and another .5 hours to prepare conflicts disclosure regarding 807 of the 5,565 registrants for whom Glass Lewis determined it had disclosable conflict information, Glass Lewis estimated an increased burden of 5,969 hours annually to comply with the new conflicts of disclosure requirements in proposed Rule 14a-2(b)(9)(i).

they comply, we expect those businesses will implement mechanisms differently depending on, among other things, the facts and circumstances of their particular business operations and the nature of their client bases.[691] Furthermore, some proxy voting advice businesses may already have systems sufficient to address some or all of the mechanics required to comply with Rules 14a-2(b)(9)(ii)(A) and (B),[692] which would be expected to limit their overall burden but cannot be precisely estimated.

It appears that the more prescriptive nature of the proposed amendment regarding registrants' and certain other soliciting persons' advance review and response to proxy voting advice was a large driver of the hourly and cost burdens discussed by commenters. We believe the flexibility afforded by the principles-based approach reflected in the final rules should therefore result in significantly lower costs for proxy voting advice businesses and their clients than under the proposal.[693]

We believe that much of the burden of the final amendments would be for the proxy voting advice business to develop policies that satisfy the principles and accordingly modify or develop systems and practices to implement such policies. To derive an estimate for these costs, we start

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[691] As one example, to be eligible for the safe harbor in Rule 14a-2(b)(9)(iv), a proxy voting advice business has the option to provide notice on its electronic client platform that the registrant has filed additional soliciting materials, or it could choose to provide notice through email or other electronic means. Both mechanisms for informing clients could involve initial set-up costs as well as ongoing costs that are hard to predict. Since they are not required to rely on the safe harbor, proxy voting advice businesses may also put in place other mechanisms to inform their clients of a registrant's views about the proxy voting advice, which could be more or less costly than satisfying the conditions of the safe harbor.

[692] *See supra* note 609 in Section IV.C.3.b.2.

[693] For example, one commenter enumerated a number of elements of the proposal that it believed would have an impact on a proxy voting advice business's paperwork burden and provided estimates of the hourly burden expected to be incurred that totaled 59,999 burden hours. Of this amount, we have already addressed and incorporated the 5,969 hours estimate regarding identifying and disclosing conflicts. *See supra* note 690. We address the 19,648 hour estimate regarding confidentiality agreements below. We believe the remaining 34,382 burden hours pertained to elements of the proposed rules that are not directly relevant in light of our revisions in favor of a more principle-based framework that no longer requires mandatory review and feedback periods. *See* letter from Glass Lewis I.

with our estimated number of registrants filing proxy materials annually, which is 5,690.[694] We estimate that the burden on a proxy voting advice business in setting up, modifying, and implementing such policies and systems would involve approximately one half-hour per registrant (2,845 hours) for the notice to registrants under Rule 14a-2(b)(9)(ii)(A) and one half-hour per registrant (2,845 hours) for the notice to clients of any response by the registrants under Rule 14a-2(b)(9)(ii)(B).[695] Our revised estimates take into consideration our understanding that some proxy voting advice businesses have systems and practices in place that may complement or overlap with the new requirements, which could substantially mitigate any increases to their overall burden. Also, these estimates represent the average annual burden increase over three years, as we assume that the burden would be greatest in the first year after adoption as proxy voting advice businesses incorporate the new requirements into their existing practices and procedures, but would be less in subsequent years.

In addition to these system-related costs, we expect that the proxy voting advice businesses would, as a general matter, obtain acknowledgments or agreements with respect to the use of any information shared with a registrant, as we expect that the business would seek to limit disclosure of its report. Given that the rules do not require proxy voting advice businesses to give pre-release copies of proxy voting advice to registrants, in contrast to the proposal, we believe the need for proxy voting advice businesses to individually negotiate and secure detailed confidentiality agreements from registrants will be substantially lessened. This is particularly true to the extent

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[694] *See supra* note 549.

[695] In deriving our estimates of one half-hour per registrant for each of Rule 14a-2(b)(9)(ii)(A) and Rule 14a-2(b)(9)(ii)(B), we considered estimates provided by one commenter who estimated that the "Implementation of final notice period" component of the proposal would impose a burden of 0.5 hours per registrant, as would the "Process, review and implement requests for a hyperlinked response" component. *See* letter from Glass Lewis I. While these two proposed components are not part of the final rules, they are in some ways analogous to the two principles for which proxy voting advice businesses may need to implement systems under the final rules. Accordingly, we believe one half-hour burden per registrant for each of these components is an appropriate estimate as to the burden on each proxy voting advice business.

that a proxy voting advice business already maintains a practice of providing copies of its proxy voting advice to registrants and can therefore utilize its existing practices with respect to confidentiality provisions. This would include, for example, the practice of requiring registrants to agree to or acknowledge certain terms of use before accessing the proxy voting advice. In this regard, we note that some proxy voting advice businesses currently provide reports to registrants without requiring formal confidentiality agreements, instead requiring only an electronic acknowledgement of terms of use.[696]

We recognize that there nevertheless may be some hourly and cost burden associated with a proxy voting advice business's efforts to obtain acknowledgements[697] or other kinds of agreements with registrants before sharing proxy voting advice materials and that there could be a range of approaches. One approach may be to develop a standardized form of acknowledgement regarding the report's terms of use and implementing systems to track the acknowledgments. Under such an approach, we estimate that each proxy voting advice business would incur 100 hours in the first year of compliance to draft such standardized terms of use and update systems to implement and track it, and 25 hours each year thereafter to implement the terms of use and systems on a going-forward basis, for a three-year average of 50 hours per year per proxy voting advice business associated with securing an acknowledgment or other assurance that the proxy advice will not be disclosed. However, we recognize that proxy voting advice businesses could choose instead to negotiate individual terms of use with each registrant. As a result of modifications we have made from the proposal in response to commenters, we anticipate that the burden in those cases would nonetheless be significantly less than the four hours per issuer burden

[696] *See supra* note 615. For example, Glass Lewis requires a registrant to click and acknowledge/accept/agree to certain "terms of use" before being able to access the notice and recommendations.

[697] See paragraph (B) of the Rule 14a-2(b)(9)(iii) safe harbor.

estimate provided by a commenter regarding the proposal.[698] We estimate an average burden of one hour per registrant[699] under those circumstances, for a total estimate of 5,690 hours per year associated with securing an acknowledgment or other assurance that the proxy advice will not be disclosed. Accordingly, depending on which approach a proxy voting advice business chooses, we expect that the burden could range from 50 hours to 5,690 hours per year per proxy voting advice business. Given current practices, we expect that proxy voting advice business would generally seek to rely on standardized terms of use. Nevertheless, for purposes of this PRA analysis, and so as to not underestimate the burden, we use an estimate of 5,690 hours per proxy voting advice business to obtain acknowledgments.

Overall, we believe that proxy voting advice businesses will incur an annual incremental paperwork burden to comply with Rule 14a-2(b)(9) as follows.

New Requirement	**Proxy Voting Advice Business Estimated Incremental Annual Compliance Burden**
Rule 14a-2(b)(9)(i) – Conflicts Disclosure	Increase in paperwork burden corresponding to:
Proxy voting advice business must include conflicts of interest disclosure in its proxy voting advice (or electronic medium used to deliver the advice), as well as a discussion of any policies and procedures used to identify and address conflicts, and any actual steps taken to address any conflicts	To the extent that the proxy voting advice business's current practices and procedures do not already satisfy the requirement: • Identification and disclosure to clients of qualifying conflicts of interest. Includes burden associated with internal processes and procedures for: o Reviewing and preparing disclosures describing conflicts of interest, relevant conflicts policies and procedures, and actual steps taken to address conflicts identified; o Developing and maintaining methods for tracking conflicts of interest; o Seeking legal or other advice; and o Updating electronic client platforms, as applicable

[698] *See* letter from Glass Lewis I.

[699] Out of the estimated 18,534 registrants that may be affected to a greater or lesser extent by the final amendments, 5,690 filed proxy materials with the Commission during calendar year 2018. *See* Section IV.B.1. and *supra* note 549.

	We estimate the increase in paperwork burden to be 6,000 hours per proxy voting advice business.
Rule 14a-2(b)(9)(ii)(A) – Notice to Registrants and Rule 14a 2(b)(9)(iii) Safe Harbor	Increase in paperwork burden corresponding to:
The proxy voting advice business has adopted and publicly disclosed written policies and procedures reasonably designed to ensure that registrants who are the subject of proxy voting advice have such advice made available to them at or prior to the time the advice is disseminated to clients of the proxy voting advice business • Safe Harbor – The proxy voting advice business has written policies and procedures that are reasonably designed to provide a registrant with a copy of the proxy voting advice business's proxy voting advice, at no charge, no later than the time it is disseminated to the business's clients. Such policies and procedures may include conditions requiring that: (A) The registrant has filed its definitive proxy statement at least 40 calendar days before the security holder meeting date (or if no meeting is held, at least 40 calendar days before the date the votes, consents, or authorizations may be used to effect the proposed action); and (B) The registrant has acknowledged that it will only use the copy of the proxy voting advice for its internal purposes and/or in connection with the solicitation and it will not be published or otherwise shared except with the registrant's employees or advisers.	To the extent that the proxy voting advice business's current practices and procedures are not already sufficient: • Developing new or modifying existing systems, policies and methods, or developing and maintaining new systems, policies and methods to ensure that it has the capability to timely provide each registrant with information about its proxy advice necessary to satisfy the requirement in Rule 14a-2(b)(9)(ii)(A) and/or the safe harbor in Rule 14a-2(b)(9)(iii) • If applicable, obtaining acknowledgments or agreements with respect to use of any information shared with the registrant; and • Delivering copies of proxy voting advice to registrants We estimate the increase in paperwork burden to be 8,535 hours per proxy voting advice business, consisting of 2,845 hours for system updates and 5,690 hours for acknowledgments regarding sharing information.
Rule 14a-2(b)(9)(ii)(B) – Notice to Clients of Proxy Voting Advice Businesses and Rule 14a-2(b)(9)(iv) Safe Harbor	Increase in paperwork burden corresponding to:
The proxy voting advice business has adopted and publicly disclosed written policies and procedures reasonably designed to ensure that the proxy voting advice business provides clients with a mechanism by which they can reasonably be expected to become aware of any written statements regarding proxy voting advice by registrants who are the subject of such advice, in a timely manner before the shareholder meeting • Safe harbor – The proxy voting advice business has written policies and procedures that are reasonably designed to inform clients who receive the proxy voting advice when a registrant that is the subject of such voting advice notifies the proxy voting advice business that it intends to file or has filed additional soliciting materials with the Commission setting forth the registrant's statement regarding the voting advice, by: (A) providing notice to its clients on its electronic client platform that the registrant intends to file or has filed such additional soliciting materials and including an active hyperlink to those	To the extent that the proxy voting advice business's current practices and procedures are not already sufficient: • Developing new or modifying existing systems, policies and methods, or developing and maintaining new systems, policies and methods capable of: o Tracking whether the registrant has filed additional soliciting materials; o Ensuring that proxy voting advice businesses provide clients with a means to learn of a registrant's written statements about proxy voting advice in a timely manner that satisfies the requirement in

materials on EDGAR when available; or (B) The proxy voting advice business providing notice to its clients through email or other electronic means that the registrant intends to file or has filed such additional soliciting materials and including an active hyperlink to those materials on EDGAR when available.	Rule 14a-2(b)(9)(ii)(B) and/or the safe harbor in Rule 14a-2(b)(9)(iv). • If relying on the safe harbor in Rule 14a-2(b)(9)(iv)(A) or (B), the associated paperwork burden would include the time and effort required of the proxy voting advice businesses firm to: o provide notice to its clients through the business's electronic client platform or email or other electronic medium, as appropriate, that the registrant intends to file or has filed additional soliciting materials setting forth its views about the proxy voting advice; and o include a hyperlink to the registrant's statement on EDGAR We estimate the increase in paperwork burden to be 2,845 hours per proxy voting advice business.
TOTAL	17,380 hours per proxy voting advice business

Altogether, we estimate an annual total increase of 52,640 hours[700] in compliance burden to be incurred by proxy voting advice businesses that would be subject to the amendments to Rule 14a-2(b)(9). We assume that the burden would be greatest in the first year after adoption, as proxy voting advice businesses incorporate the new requirements into their existing practices and procedures.

b. Registrants

In addition to proxy voting advice businesses, we anticipate that registrants would incur some additional paperwork burden as a result of the amendments. Registrants could experience

[700] This represents the annual total burden increase expected to be incurred by proxy voting advice businesses (as an average of the yearly burden predicted over the three-year period following adoption) and is intended to be inclusive of all burdens reasonably anticipated to be associated with compliance with the conditions of Rule 14a-2(b)(9). The Commission is aware of three businesses in the U.S. (*i.e.*, Glass Lewis, ISS, and Egan-Jones) whose activities fall within the scope of proxy voting advice constituting a solicitation under amended Rule 14a-1(l)(1)(iii)(A). We estimate that each of these will have a burden of 17,380 hours per year. We recognize that there could be other proxy voting advice businesses, including both smaller firms and firms operating outside the U.S., which may also be subject to the final rules. However, we expect such a number to be small. Accordingly, rather than increasing our estimate of the number of affected proxy voting advice businesses beyond the three discussed above, we are increasing our annual total burden estimate by 500 hours to account for those businesses. As a result, the annual total burden that we estimate will result from this amendment will be: (17,380 x 3) + 500 = 52,640 hours.

increased burdens associated with coordinating with proxy voting advice businesses to receive the proxy voting advice, reviewing the proxy voting advice, and preparing and filing supplementary proxy materials in response to the proxy voting advice, if they choose to do so.

As the rules do not require registrants to engage with proxy voting advice businesses or take any action in response to proxy voting advice, we expect a registrant would bear additional paperwork burden only if it anticipated the benefits of engaging with the proxy voting advice business would exceed the costs of participation. These costs will vary depending upon the particular facts and circumstances of the proxy voting advice and any issues identified therein, as well as the resources of the registrant, which makes it difficult to provide a reliable quantifiable estimate of these costs. Nevertheless, in the Proposing Release, the Commission stated its belief that the corresponding burden on registrants would be not significant in most cases, particularly when averaged among all affected registrants.[701] As such, the Commission estimated that registrants would each incur, on average, an increase of ten additional burden hours each year, for a total increase among all registrants of 18,970 hours annually.[702]

In consideration of commenters' views that the Commission's estimates were too low,[703] we have adjusted our prior burden estimates upward. Nevertheless, we do not believe the annual burden to be incurred by an individual registrant would be considerably greater than was reflected in the Proposing Release, particularly in light of the modifications we are making to the registrant review process that was originally proposed. For example, the rules as adopted do not mandate that registrants be afforded fixed periods of review of proxy voting advice, as was the case with

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[701] *See* Proposing Release, PRA Table 1 at 66553 and note e of the table.

[702] *Id.*

[703] *See* letters from Glass Lewis I ("… the ten hour estimate and resulting burden hour estimate is both unsupported and likely significantly understated") and ProxyVote I ("We believe the Proposed Rulemaking significantly understates the actual burden imposed on ProxyVote and thus the actual costs we will incur.")

the proposal.[704] Furthermore, our estimates consider the extent to which some registrants' current practices and procedures may already involve reviewing proxy voting advice businesses' voting advice, filing additional soliciting materials, and some amount of investor outreach in response to adverse voting recommendations. Assuming that a registrant's annual meeting of shareholders is covered by at least two of the three major U.S. proxy voting advice businesses, and the registrant has opted to review both sets of proxy advice and file additional soliciting materials in response, we estimate an average increase of 50 hours per registrant in connection with the amendments for a total annual increase of 284,500 hours.[705] As discussed above, however, it is difficult to predict the effect of the amendments on a registrant's paperwork burden with a great degree of precision.

2. Aggregate Increase in Burden

Table 1 summarizes the calculations and assumptions used to derive our estimates of the aggregate increase in burden for all affected parties corresponding to the amendments.

PRA Table 1. Calculation of Aggregate Increase in Burden Hours Resulting from the Amendments

Affected Parties

[704] *See* proposed Rule 14a-2(b)(9)(ii)(2). One commenter criticized the Commission for not giving proper consideration to registrants' burden hours associated with the "review and feedback" periods. *See* Glass Lewis I.

[705] In the Proposing Release, for purposes of its PRA analysis, the Commission assumed that, on average, one-third of the 5,690 registrants that filed proxy materials with the Commission during calendar year 2018 (1,897) would be the subject of proxy voting advice each year. *See* Proposing Release, note b. of PRA Table 1 at 66553. Some commenters who disagreed with this assumption stated that this figure was too low. *See* letter from Glass Lewis I. (suggesting that the correct number was "likely much closer to 100% of those that filed proxy materials with the Commission") and ProxyVote I ("The appropriate number of registrants that should be subject to the Proposed Rulemaking's estimates should be 5,690 registrants, not 1,897 registrants"). We also note certain statements from some proxy voting advice businesses indicating that they cover tens of thousands of shareholder meetings annually across global markets. *See* letters from Glass Lewis I and II; ISS; Egan-Jones. Accordingly, we have reconsidered our original estimate of one-third, and agree that our calculations should be based on the larger number of 5,690 registrants, given the significant volume of registrants and shareholder meetings that are the subject of proxy voting advice each year. This results in a total annual burden increase of 50 x 5,690 = 284,500 hours. We note that such burden increase would be offset against any corresponding reduction in burden resulting from the registrant forgoing other methods of responding to the proxy voting advice (such as investor outreach) the registrant determines are no longer necessary or are less preferable in light of the new rules.